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The Better Policy Project

The Prudent Risk Management Approach to Macroeconomic Policy:

Sharing the experience developing FPAS Mark 2 at the Central Bank of Armenia

FPAS Mark 2: Timeline

2022: Developing the ideas

2023: Developing the capacity

2024: Going live

2025: Reflections – Positives and Challenges

2026: What’s Next?

Three (Fundamental) Ingredients of FPAS

- What is the current state of the economy?
- What are the underlying forces?
- $ What should traditional (monetary and fiscal) policy instruments do to meet inflation and other objectives?

	Non FPAS	FPAS Mark I	FPAS Mark II
Three Ingredients of FPAS	✗	✓	✓
Uncertainty: Scenario Analysis	✗	✗ ✓	✓
“Least Regrets” Policy	✗	✗	✓
Accountability & Transparency	✗	✓	✓
Countries	UK, Euro Area, Brazil	Czech Republic, New Zealand, Israel	Armenia

2022 - Developing the Ideas
The Need for a New Framework – Policy of Least Regrets

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Instituted by the RBNZ during the pandemic for about 18 months

Communicated that due to the extreme uncertainty presented by the pandemic required an extraordinarily easy monetary and fiscal policy response with the intention of avoiding a possible depression and were willing to accept higher inflation in the future if it turned out that they did too much stimulus…

Reserve Bank of New Zealand
Te Pūtea Matua

2022 – Developing the Ideas
The Need for a New Framework – Alan Greenspan, A structured policy of least regrets during more normal times

"A policy action that is calculated to be optimal based on a simulation of one model may not, in fact, be optimal once the full extent of uncertainty is taken into account. It is entirely possible that different policies will exhibit different degrees of robustness with respect to the true underlying structure of the economy. For example, **policy A** might be judged as best advancing the policymakers' objectives, conditional on a particular model of the economy, but might also be seen as having relatively severe adverse consequences if the true structure of the economy turns out to be other than the one assumed. On the other hand, **policy B** might be somewhat less effective in advancing the policy objectives under the assumed baseline model but might be relatively benign in the event that the structure of the economy turns out to differ from the baseline."

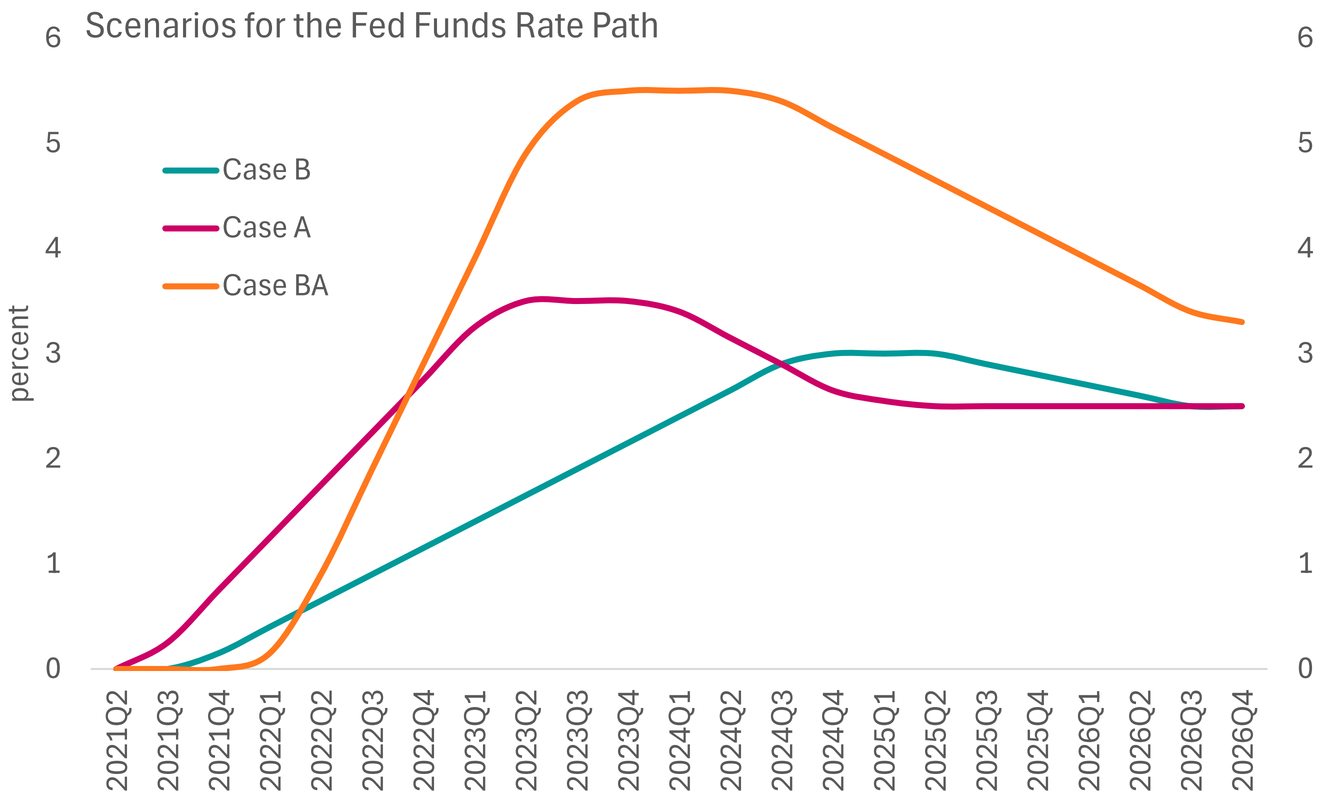
- Alan Greenspan, Monetary Policy under Uncertainty, Jackson Hole 2004

2022 – Developing the Ideas
Revisiting the Transitory vs Persistent Inflation Debate

Case A: A scenario where inflation turns out to be a little persistent

Case B: A scenario where inflation turns out to be transitory

Case BA: A scenario where policy is delayed and inflation becomes more broad-based



2022 – Developing the Ideas
The Need for a New Framework – Developing the Ideas

- Spent a year working and surveying the staff and the Board at the Central Bank of Armenia
- Culminated in the paper ***"FPAS Mark II: Avoid Dark Corners and Eliminating the Folly in Baselines and Local Approximations"***

CBA Working Paper 2022/03

FPAS Mark II: Avoiding Dark Corners and Eliminating the Folly in Baselines and Local Approximations

by David Archer, Martin Galstyan and Douglas Laxton*

October 13, 2022

2022 – Developing the Ideas
Final Structure of Scenario Analysis

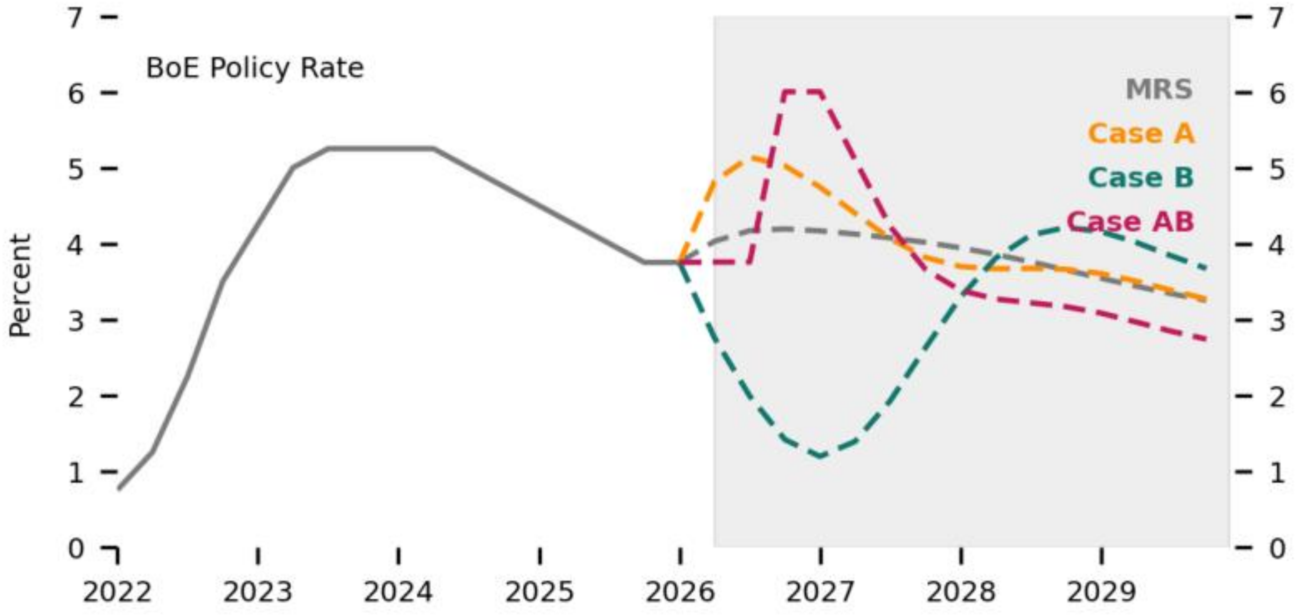
A **Market Reference Scenario (MRS)** where the goal is to describe a macroeconomic consistent narrative priced in financial markets

A **Case A** scenario that illustrates why the policy path could be higher than the MRS

A **Case B** scenario that illustrates why the policy path could be lower than the MRS

And if necessary, a **Case AB or Case BA** scenario to describe a policy of least regrets

Example of FPAS Mark 2 applied to the UK economy



Quarterly Decision: 28-day Round

- **A collaborative, iterative 28-day sequence** designed for efficiency and lively debate.
- **Kick-off meeting:** Board discusses major tail risks/uncertainties; staff frames key drivers.
- **Develop scenario ingredients:** Board members outline essential inputs for Case A/B, as well as Case AB/BA, X/Y if the uncertainty is elevated.
- **Final submissions (T-3):** Projection Coordinator sends final Case A/B to Board; no further changes.
- **Vote & publish:** Board votes; MPR and decision released with a clear narrative.

The 28-Day Policymaking Round

T-28 → Kick-Off: Concise briefing to board about current economic drivers; robust discussions between board members and staff about major concerns & tail risks

→ Board members work with Level 2 GFS Coordinators to help create the ingredients of a one-page narrative of their favorite illustrative Case A and Case B scenarios.

T-17 → Submission of One-Pagers

T-14 → Issues Meeting

→ **Projection Round**: Chief Economist and Staff systematically build out Case A & Case B scenarios. Board members work with Level 2 GFS coordinators who help monitor the process to understand what ingredients are in the Case A and B scenarios, and what ingredients will be used to qualitatively discuss other types of Case A and B scenarios.

T - 3 → Lock In Case A and B Scenarios (and Case X and Y, when Necessary)
With endogenous policy paths, narratives, and (relative) welfare calculations (short-run output-inflation trade-off)

T → Policy Decision & Communication

GFS = Global Forecasting School
SME = Subject Matter Expert
SME1 = Level 1 GFS Student
SME2 = Level 2 GFS Student

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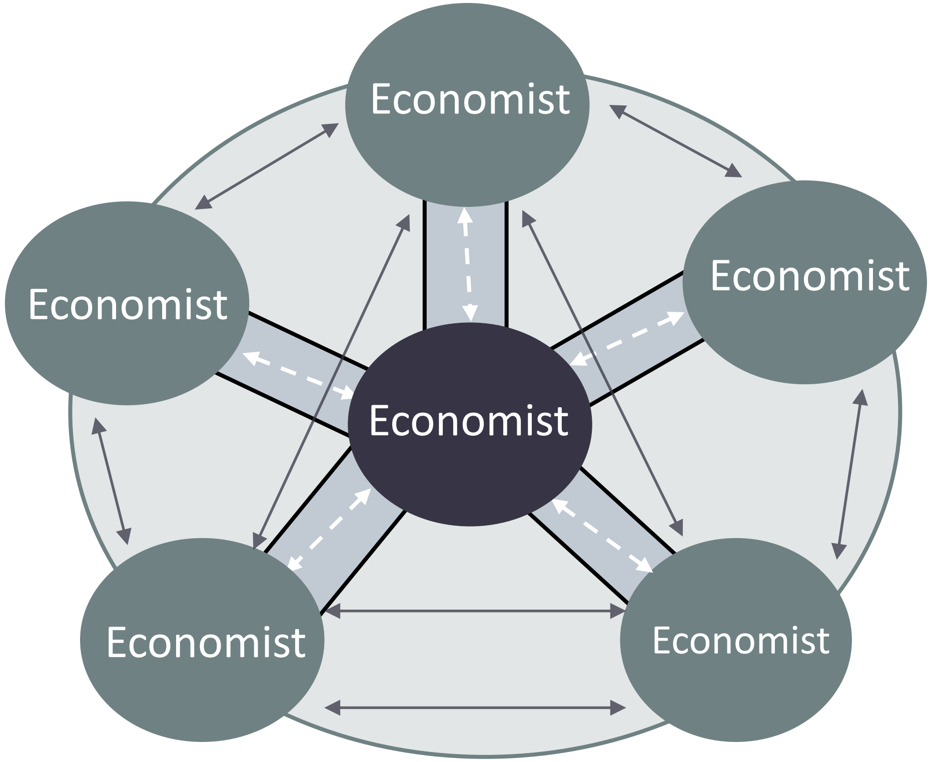
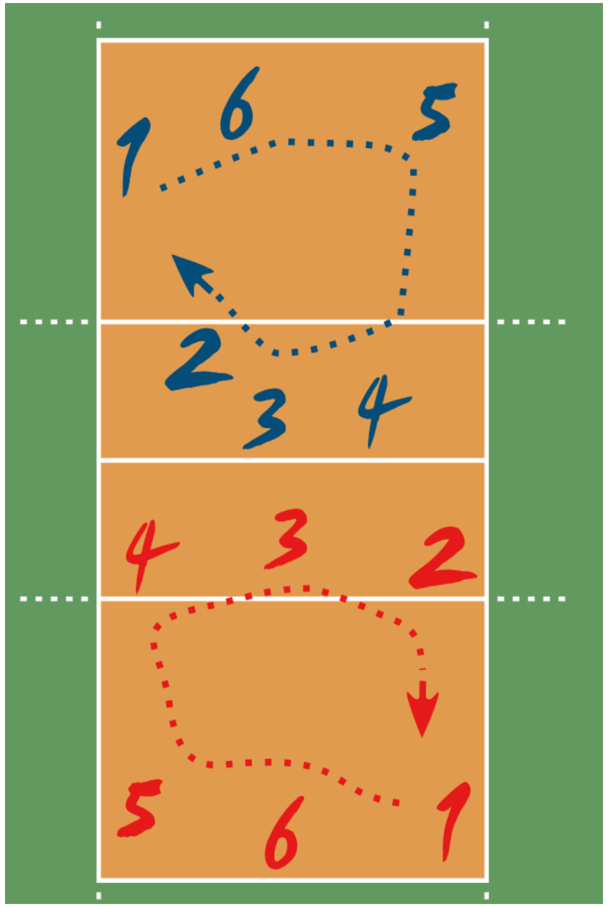
2023
Developing Capacity

2023
Developing Capacity – A Flatter HR Model

A Typical Team Structure

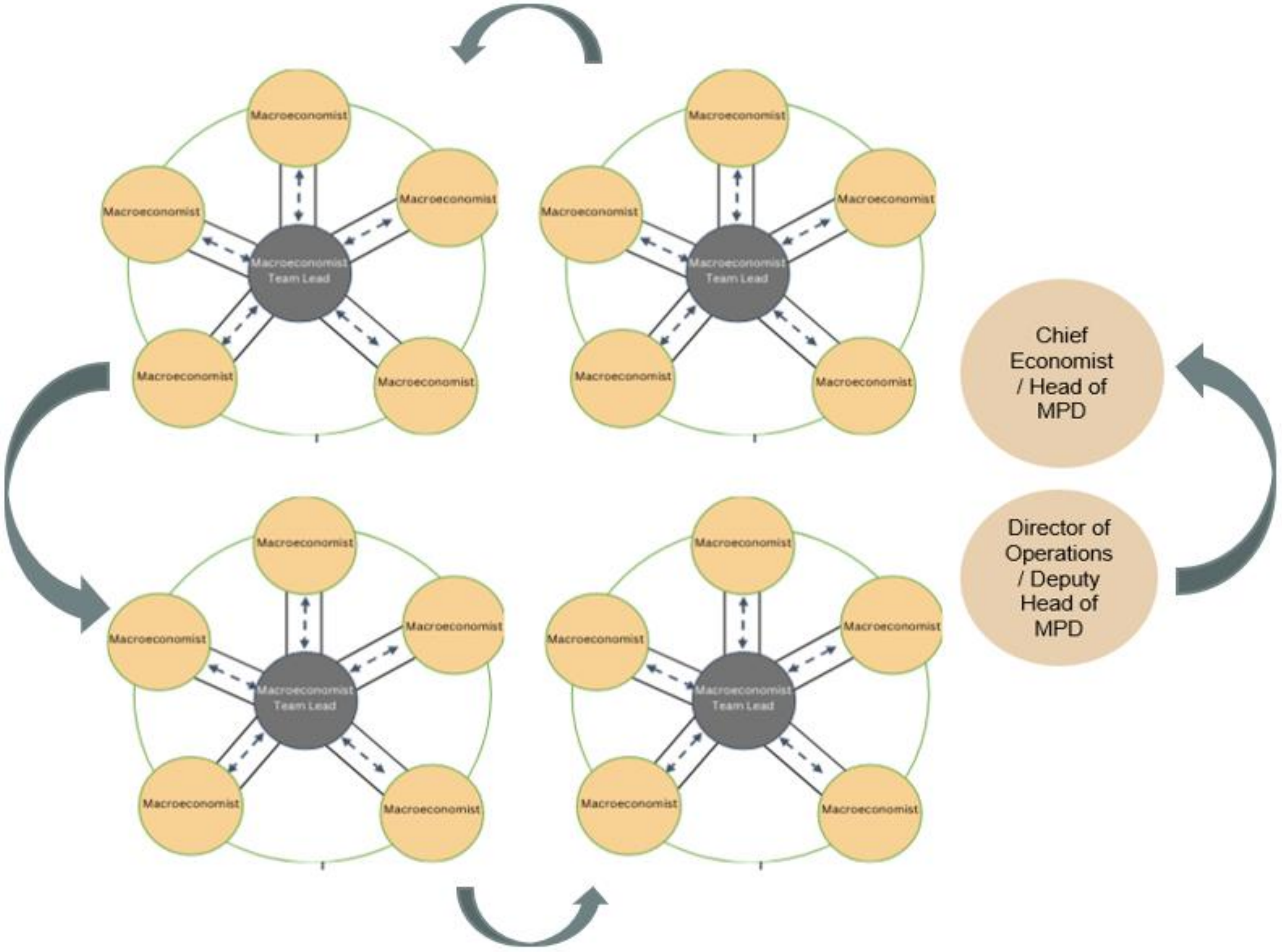




Vazgen Poghosyan

"Each Time A Team Wins A Point Or Before They Start The Serve, The Serving Team Rotates Clockwise"

2023
Developing Capacity – 4 Teams of 6



Organizational Structure in Practice

2023
Developing Capacity – Rotation of Teams

	Round 1	Round 2	Round 3	Round 4
Development (80%) and Collaboration (20%)	Team 4 Team 3	Team 3 Team 2	Team 2 Team 1	Team 1 Team 4
Backing up	Team 2	Team 1	Team 4	Team 3
Lead team	Team 1	Team 4	Team 3	Team 2

1 year

2024
Going Live

2024
Going Live – New output by the CBA

A new FPAS Mark 2 MPR

MRS, Case A, Case B scenarios

Taxonomy of scenarios

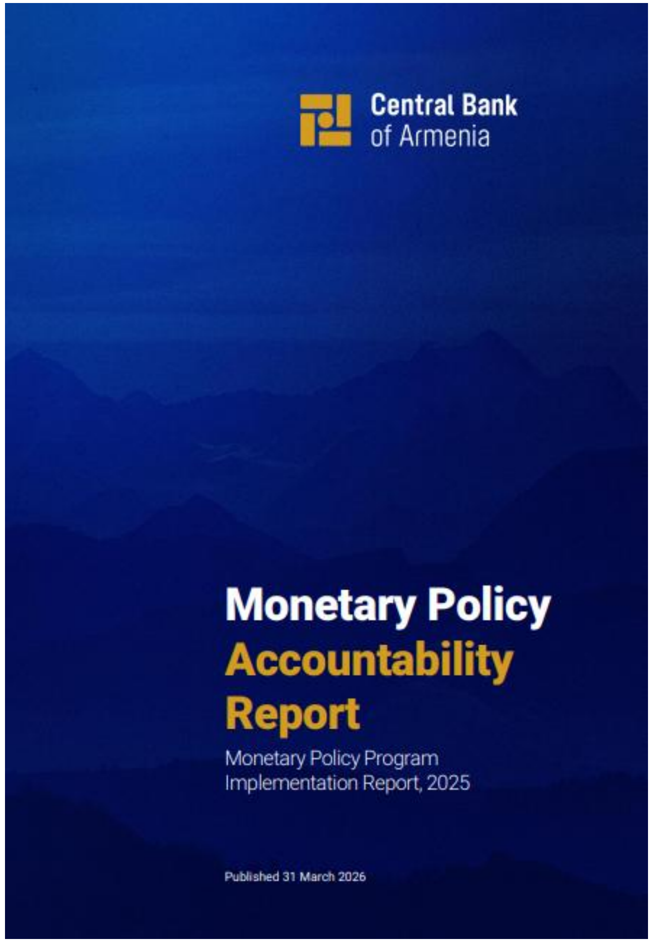
A new Transparency Report

Board member one-pagers

Published same day as the MPR

A new Accountability Report

Describes how the risks have evolved over time and the how the views of the board have changed



2025
Reflections

2025
Reflections – The positives

Improved policy discussions at the Board level. Discussions are now richer, with a broader range of ideas, deeper analytical thinking, and a more comprehensive assessment of the economic landscape under uncertainty.

Stronger engagement with financial market participants. Empowering financial market participants by incorporating their views into the Market Reference Scenario.

Better internal communication and institutional culture. The interaction between staff and the Board has become more constructive and engaging.

Improved public and market perception of monetary policy. Enhanced transparency and accountability have led to a more favorable perception of the CBA's policy framework among financial market participants.

Strengthened institutional credibility. By openly promoting and implementing an innovative policy framework, the CBA has reinforced its reputation as a professional, forward-looking institution.

Hayk Avetisyan
Central Bank of Armenia – Macroeconomic Directorate

2025
Reflections – The challenges

The risk of overly discretionary policymaking. There is always the possibility that Board members may favor scenarios that support policy preferences they already hold.

Communication has become more demanding. Under the traditional framework, the main communication challenge was to explain that a scenario was not a forecast. With multiple scenarios, it is often difficult to communicate that the Board is not selecting, assigning probabilities to, favoring, or disfavoring any particular scenario. Rather, the purpose of the scenarios is to structure discussions about risks.

FPAS II places greater demands on Board members. Under the previous framework, the staff often played a dominant role in shaping the policy discussion, framing the policy options, and effectively guiding the decision-making process. This made it relatively easy for Board members to support or marginally adjust the staff's recommendation. Under FPAS II, Board members are more active in policy deliberations.

Hayk Avetisyan
Central Bank of Armenia – Macroeconomic Directorate

2026
What's Next

FPAS Mark 3:
A Framework for True Price Stability

Something the Bank of Thailand could be interested in

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Thank you for your Attention!

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